



LUANSHYA MUNICIPAL COUNCIL



FINANCIAL STATEMENTS FOR YEAR ENDED 31ST DECEMBER 2019

Luanshya Municipal Council
14th Street Zaone Avenue
P O Box 90140
LUANSHYA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2019 which disclose the sources, utilization and balances of cash for Luanshya Municipal Council during the period under review.

Background and Location of the Council

The Council is located in Luanshya District on the Copperbelt Province of Zambia 35 Kilometers (Km) south-west of Ndola, the Provincial Capital of the Copperbelt Province and about 352 Km north of Lusaka City, the nation's capital, Lusaka. It shares borders with Kitwe City on the west, Ndola City on the north-east, Masaiti District on the south-east, Mpongwe District on the south –west near Kafue River and Lufwanyama District on the north-west. It lies on approximate latitude of 13° 7' 59.880" and longitude 28°23' 60.00". The district has an altitude of 1,257m above sea level and covers an area of 1, 007.61 Square Kilometres (Km²).

Luanshya District has a total area of 1, 007.61 Square Kilometres (Km²). According to the 2010 Population and Housing Census, the total population of Luanshya was 156, 059 with an average annual population growth rate of 0.5%. The population is segregated as 77,368 Males being 49.6% of the population and 78,691 Females being 50.4% of the population (Census 2010 Zambia Population and Demographic Projection for 2011 – 2035, Luanshya is projected to have a population of 177, 934 by 2020.

The main economic activities in Luanshya District are mining and agriculture. The district is endowed with Copper Ore deposits hence making mining a major economic activity.

The address of the registered office of Luanshya Municipal Council (LMC) is as follows:

The Civic Centre

14th Street Zaone Avenue

P.O Box 90140

LUANSHYA

Composition of the Council

Luanshya Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, 1991 Cap 281 of the Laws of Zambia. As a Local Authority, the Municipal Council administers the Luanshya District.

The Council is composed of an elected Mayor, twenty-eight (28) elected Councilors from twenty-eighty (28) wards. The current council was elected to office in 2016 to serve a five year term up to 2021. The Deputy Mayor was elected from among the councilors in 2016 for the period of two and half years and was re-elected in 2019 for another period of two (02) years.

The Councilors who held office during the year were:

REPORT OF THE COUNCIL

S/N	NAME	GENDER	POSITION	WARD
1	Nathan Chanda Bwalya	Male	Mayor	Not applicable
2	Golden Mwenya Mulenga	Male	Deputy Mayor	Mpelembe
3	Kombe Samson	Male	Councillor	Misaka
4	Chiyasa Nepoll	Male	Councillor	Fisenge
5	Chakulya Mulenga	Male	Councillor	Twashuka
6	Robert Chisupa	Male	Councillor	Chitwi
7	Mwewa James	Male	Councillor	Chifulube
8	Daka Edgar	Male	Councillor	Buntungwa
9	Chuba Hugen Bwalya	Male	Councillor	Buteko
10	Bwalya Nkandu Timothy	Male	Councillor	James Phiri
11	Munga Herbert	Male	Councillor	Levi Chito
12	Bowa Chanda Victor	Male	Councillor	Mikomfwa
13	Kasongo Chomba	Male	Councillor	Zambezi
14	Mulenga Paul	Male	Councillor	Mulungushi
15	Simpungwe David	Male	Councillor	Mipundu
16	Bwalya Justus Charles	Male	Councillor	Kafubu
17	Chitalu Veronica	Female	Councillor	Nkoloma
18	Kahale Angel	Male	Councillor	Lumumba
19	Chisha Sephrine	Male	Councillor	Kafue
20	Siuluta Justus	Male	Councillor	Chilabula
21	Mukuka Stanslas	Male	Councillor	Mpatamatu
22	Kasonso Martin	Male	Councillor	Justine Kabwe
23	Desire mulewa mumba	Male	Councillor	Nkulumashiba
24	Bwalya Daniel	Male	Councillor	Baluba
25	Katulwende Elias	Male	Councillor	Milyashi
26	Siwale Febian	Male	Councillor	Ngebe
27	Mulenga Elizabeth Twiggy	Female	Councillor	Kansengu
28	Mubanga Stanislaus Chongo	Male	Councillor	Kawama
29	Mwambazi Evaristo	Male	Councillor	Muva Hill

The District also has two (2) elected Members of Parliament one for Luanshya Central Constituency and the other for Roan Constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Steve Chungu	Male	Luanshya
2	Hon. Joseph Chishala	Male	Roan

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Patrick Maipambe was the District Commissioner for Luanshya District.

The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

REPORT OF THE COUNCIL

The Town Clerk is assisted by six (6) Heads of Department responsible for Finance, Planning, Engineering, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main functions of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) as listed in the annex part C of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2019	2018
	Kwacha	Kwacha
Cash Receipts	40,586,596	41,260,983
Payments	41,424,168	39,399,438
Increase in Cash and Cash Equivalents	- 837,572	1,861,545

Key Policies Adopted During the Year

The Council adopted the following policies during the year:

- Introduction of fees and charges for renting of Council and sub division of property.
- Upward adjustment of fees and charges for fire arm and marriage by 50%.
- Upward adjustment of fuel by 6.4% to which increased cost of service delivery.
- Upward adjustment of the electricity tariffs which resulted also in the increased cost of service delivery.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K3, 491, 935.

No property, plant and equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The average number of employees during the year was five hundred and ninety nine (599). The total amount spent on employees' remuneration and welfare during the year was K26, 480,499.00.

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K551, 846 towards sponsoring various sporting activities.

Corporate Social Responsibility

The Council made donations during the year amounting to K239, 061 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

.....

Nathan Chanda Bwalya

Mayor

....., 2022

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December, 2019 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December, 2019.

Signed on behalf of the Council, 2022 by;

Name:.....

Name:.....

Signature:.....

Signature:.....

Position: Mayor

Position: Town Clerk

Name:.....

Signature:.....

Position: Director of Finance

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2019

	Note	2019 Kwacha	2018 Kwacha
RECEIPTS			
Local taxes	2	17,699,741	17,731,829
Fees and Charges	3	6,006,280	6,291,913
Licences	4	1,103,230	612,824
Levies	5	184,959	678,825
Permits	6	1,114,695	870,682
Local Government Equalisation Fund	7	14,231,201	11,326,643
Constituency Development Fund	8	54,385	3,233,935
Other Grants	9	39,900	465,319
Borrowings	10	-	
Commercial Venture	11	152,206	49,013
Other Receipts	12		
TOTAL RECEIPTS		40,586,596	41,260,983
PAYMENTS			
Personnel Emoluments	13	26,480,499	27,105,296
Use of goods and services	14	10,242,499	10,815,177
Financial Charges	15	244,123	470,853
Social benefits	16	915,113	13,840
Non-financial assets acquisition	17	3,491,935	994,272
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	50,000	
TOTAL PAYMENTS		41,424,169	39,399,438
Increase/(decrease) in Cash		(837,572)	1,861,545
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	2,035,648	174,103
Cash at the end of the year	22	1,198,076	2,035,648

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name:..... Name:.....

Signature:..... Signature:.....

Position: Mayor Position: Town Clerk

Name:.....

Signature.....

Position: Director of Finance

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2019

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	26,621,497	-	26,621,497	17,699,741	66%	(8,921,756)	-34%
Fees and Charges	7,773,084	-	7,773,084	6,006,280	77%	(1,766,804)	-23%
Licences	409,468	-	409,468	1,103,230	269%	693,762	169%
Levies	753,600	-	753,600	184,959	25%	(568,641)	-75%
Permits	2,070,400	-	2,070,400	1,114,695	54%	(955,705)	-46%
Local Government Equalisation Fund	12,111,684	-	12,111,684	14,231,201	117%	2,119,517	17%
Constituency Development Fund	2,800,000	400,000	3,200,000	54,384	2%	(3,145,616)	-98%
Other Grants	7,880,537	-	7,880,537	39,900	1%	(7,840,637)	-99%
Borrowings	-	-	-	-	-	-	-
Commercial Venture	1,797,750	-	1,797,750	152,206	8%	(1,645,544)	-92%
Other Receipts	-	-	-	-	-	-	-
TOTAL RECEIPTS	62,218,020	400,000	62,618,020	40,586,596	65%	(22,031,424)	-35%
PAYMENTS							
Personnel Emoluments	33,346,000	-	33,346,000	26,480,499	79%	6,865,501	21%
Use of goods and services	21,845,950	-	21,845,950	10,242,499	47%	11,603,451	53%
Financial Charges	260,000	-	260,000	244,123	94%	15,877	6%
Social benefits	1,140,000	-	1,140,000	915,113	80%	224,887	20%
Non-financial assets acquisition	3,828,320	-	3,828,320	3,491,935	91%	336,385	9%
Financial Assets	1,797,750	-	1,797,750	-	0%	1,797,750	100%
Loan Repayments	-	-	-	-	-	-	-
Other payments	-	-	-	50,000	-	(50,000)	-
TOTAL PAYMENTS	62,218,020	-	62,218,020	41,424,169	4	20,793,851	33%
Increase/(Decrease in Cash	-	400,000	400,000	(837,573)		(42,825,275)	

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR THE YEAR ENDED 31ST DECEMBER 2019**

		2019	2018
		Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	14,231,201	11,326,643
TOTAL RECEIPTS		14,231,201	11,326,643
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		10,140,961	8,433,423
Terminal Benefits		320,000	50,000
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	-
Administrative Costs		-	-
Other Costs		924,000	924,000
Sub-Total		11,384,961	9,407,423
Capital Expenditure Payments:	7(c)		
Infrastructure Development		172,538	280,592
Rehabilitation Works		32,826	114,750
Asset Acquisition		1,219,723	997,917
Other Costs		1,421,154	151,148
Sub-Total		2,846,240	1,544,408
TOTAL PAYMENTS		14,231,201	10,951,831
Increase/(decrease) in cash		- 0	374,812
Cash at beginning of the year		374,812	-
Cash at the end of the year		374,812	374,812

Note 7 explain the composition and other details relating to the various elements included in this Statement.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR THE YEAR ENDED 31ST DECEMBER 2019**

		2019	2018
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	-	3,200,000
Other sources	8(b)	54,384	33,935
TOTAL RECEIPTS		54,384	3,233,935
PAYMENTS			
Infrastructure Development	8(c)	1,261,867	611,367
Rehabilitation Works	8(d)	-	-
Asset Acquisition	8(e)	1,436,629	328,365
Administrative Costs	8(f)	40,182	19,469
TOTAL PAYMENTS		2,738,678	959,200
Increase/(decrease) in Cash		- 2,684,295	2,274,735
Cash at beginning of the year		3,434,682	1,159,947
Cash at the end of the year		750,387	3,434,682

Note 8 explain the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise. The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Luanshya Municipal Council is required, under the Local Government Act No.2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting
- ii. Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- iii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called ‘Encouraged Additional Disclosures’ in Cash Basis financial statements for the years ending 31st December 2019 up to 2021.
- iv. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- v. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial reporting under the Cash Basis of accounting* to help it transit its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council (LMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on, 2022 by the ordinary /special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament. The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Luanshya Municipal Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Luanshya Municipal Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2019	2018
	Kwacha	Kwacha
Residential Rates	5,880,484	3,610,586
Industrial / Commercial Rates	660,579	1,813,976
Mining Rates	11,067,605	12,187,728
Personal Levy	91,073	119,538
	-	-
Total	<u>17,699,741</u>	<u>17,731,829</u>

The Council relied on the Valuation Roll updated for the period 2012 – 2019 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2019	2018
	Kwacha	Kwacha
Fees and charges	3,943,297	3,895,827
Land Development Charges	2,062,983	2,396,086
Total	<u>6,006,280</u>	<u>6,291,913</u>

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2019	2018
	Kwacha	Kwacha
Consent Fees	15,413	33,434
Survey Fees	13,100	6,175
Building Inspection fees	73,221	55,743
Plan Scrutiny Fees	157,404	247,781
Rentals/Lease of Council's properties	320,910	279,803
Application Form Fees	507,271	409,142
Sketch Fees	13,400	13,800
Search Fees	6,000	6,950
Market Fees	385,118	133,083
Parking Fees	204,863	82,088
Bus Station Fees	428,183	270,169
Affidavit Fees	1,670	13,110
Container Ntemba Fees		1,550
Grave Reservation	-	-
Refuse Disposal Fees	41,735	25,150
Notice of Marriage	122,122	52,950
Abattoir/Meat Inspection Fees	36,190	68,480
Farm Produce Levy	30,750	-
Communication Mast Levy	157,500	171,000
Land Record	-	1,950
Billboard and Banner	62,615	34,763
Lease of Council Transport	102,140	9,170
Illegal Vending Fees	-	-
Penalties	192,517	54,323
Site Rent	48,750	-
Change of ownership of plot	152,965	291,098
Registration of Suppliers	5,700	1,350
Hire of Halls	21,200	21,330
Hire of Tents	50	500
Hire of Grounds	4,520	1,560
Hire of Chairs	2,400	-
Swimming/Pool fees	1,950	4,000
Course fees	2,850	400
Library Membership Fees	10,917	10,923
Registration of Clubs and Societies	8,325	5,910
Vendor fees	50	100
Medical Fees	28,080	24,841
Vacuum Tanker service		1,000
Home Craft Registration	625	100
Repairs of Cars/Garage	31,650	
Rent Debtors	507,921	
Other Fees and Charges/other income	243,224	1,562,102
Total	3,943,299	3,895,827

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges:

Charges Type	2019		2018
	Kwacha		Kwacha
Service charges - Residential plots	697,715		1,360,037
Service charges - Industrial plots	537,178		140,009
Premium plots - Residential	126,922		2,250
Premium plots - Commercial	102,248		500,800
Lease charges	5,750		430
Other Charges (Service Charges Debtors)	593,170		392,560
Total	2,062,983	-	2,396,086

4. Licences

A total of K1,103,230 cash receipts was raised from issuance of various licences.

Licence Type	2019		2018
	Kwacha		Kwacha
Manufacturers licence	217,747		161,588
Retail licence	217,747		161,589
Wholesale licence	217,747		161,588
Occupancy licence	97,911		
Commercial travellers licence	-		-
Hawkers licence	1,350		200
Peddlers licence	-		-
Stall licence	-		-
Liquor licence	46,733		43,800
Firearm and ammunition licence	8,120		7,200
Petroleum licence	264,000		57,900
Restaurant licence	500		1,508
Dog licence	31,355		350
Other licences	20		17,100
	-		-
Total	1,103,230	-	612,824

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2019		2018
	Kwacha		Kwacha
Livestock Levy	-		765
Bird Levy	500		12,500
Quarry Levy	479		-
Pole Levy	182,558		665,400
Charcoal Levy	-		-
Sand Levy	1,422		160
Miscellaneous levies	-		-
Total	184,959	-	678,825

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2019		2018
	Kwacha		Kwacha
Health Permit	524,555		275,230
Opaque Permit	26,776		14,870
Herbal Permit	350		650
Milk Transportation Permit	4,250		29,750
Nusery Permit	19,900		20,290
Fire Certificates	409,897		152,330
Burial Permits and Grave sites	127,070		291,515
Extension of business hours permits	1,497		4,627
Public permits (social gatherings, etc)	-		-
Other Permits	400		81,421
Total	1,114,695	-	870,682

7. Local Government Equalisation Fund

a. Funding

	2019		2018
	Kwacha		Kwacha
1st Funding	14,231,201		11,326,643
2nd Funding	-		-
TOTAL	14,231,201	-	11,326,643

NOTES TO THE FINANCIAL STATEMENTS

b. Operational Expenditure

The Council applied amounts totalling K11,384,960.79 of LGEF receipts towards meeting operational expenses representing 80% of the total LGEF funding for the reporting period. A further K2,904,400.21 was realised from locally generated funds which supplemented the payments of personal emoluments and other operational expenses. A total of which was K11,569,361. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K2,846,240.20 of LGEF receipts towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period. A further K688,760.80 was realised from locally generated funds and was used to supplement the capital payments. A total of which was K2,885,001 from LGEF and Locally generated funds respectively.

This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

a) CDF Funding

	2019	2018
Constituency	Kwacha	Kwacha
Luanshya	-	1,600,000
Roan	-	1,600,000
Total Funding	-	3,200,000

b) Other CDF Sources of Funding

	2019	2018
Constituency	Kwacha	Kwacha
Luanshya	16,419	14,757
Roan	37,964	19,178
Total Other Sources	54,384	33,935

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts.

c) Infrastructure Development

	2019	2018
Constituency	Kwacha	Kwacha
Luanshya	855,148	611,367
Roan	406,719	
Total Infrastructure development payments	1,261,867	611,367

NOTES TO THE FINANCIAL STATEMENTS

Infrastructure development works for Luanshya constituency included construction of Fisenge Secondary School, Kamirenda Clinic, Baluba Primary School, Misaka Clinic, Kamuchanga/ Morning Market, Ndeke Police Station and Mipundu Primary School.

d) Rehabilitation Works

There was no Rehabilitation works done for the period under review.

e) Asset Acquisition/Empowerment

	2019	2018
Constituency	Kwacha	Kwacha
Luanshya	415,169	11,400
Roan	1,021,460	316,965
Total Asset Acquisition Payments	1,436,629	328,365

The assets acquired for Luanshya included Computers for various schools and empowerment includes education sponsorship, Fertilizer support programme and chicken rearing.

f) Administrative Costs

	2019	2018
Constituency	Kwacha	Kwacha
Luanshya	21,119	10,541
Roan	19,063	8,928
Total	40,182	19,469

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2019	2018
	Kwacha	Kwacha
Grants in Lieu of Rates	39,900	330,000
Grants from Cooperating Partners	-	123,819
Other	-	11,500
Total	39,900	465,319

10. Borrowings

During the year under review the Council did not borrow from any bank.

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Motel owned by the Council.

NOTES TO THE FINANCIAL STATEMENTS

Receipts	Kwacha		Kwacha
Tailoring Sales Receipt	80,174		46,465
Shoe making Sales Receipt	23,250		23,750
Baluba Motel Rentals	120,263		-
Others	50,000		-
Total	273,686	-	70,215
Payments			
General Administration	9,186		-
Shoe making Sales Costs	1,937		350
Tailoring Sales Costs	46,498		1,522
Wages	8,950		-
Investments Interest	50,000		-
Others	4,909		19,330
Total	121,480	-	21,202
Surplus/deficit	152,206	-	49,013

12. Other Receipts

The Council did not receive amounts that could not be recognized under any particular class of receipts in the financial statements.

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2019	2018
	KWACHA	KWACHA
Salaries Division 1	6,227,682	3,182,410
Salaries Division 2	4,396,296	4,433,878
Salaries Division 3	2,857,539	3,472,629
Wages- Division 4	6,658,795	10,349,557
Other wages	6,340,187	5,666,822
TOTAL	26,480,499	27,105,296

NOTES TO THE FINANCIAL STATEMENTS

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities.

Expenditure Type	2019	2018
	Kwacha	Kwacha
Office Running Costs	790,015	501,807
Building, Repair and Maintenance Costs	639,275	368,247
Plant, Machinery and Vehicle Running and Maintenance Cost	2,034,147	1,763,662
Other Administrative operating costs	960,092	1,788,026
Requisites	455,085	791,753
Services	4,090,231	3,158,637
Travel expenses	640,000	1,806,908
Training	375,704	433,963
Medical costs	101,270	169,311
Other costs	156,680	32,863
TOTAL	10,242,499	10,815,177

15. Financial Charges

The Council paid amounts totalling K244,123 in financial charges.

	2019		2018
	Kwacha		Kwacha
Interest on Internal Debt	244,123		470,853
Interest on External Debt	-		-
Other Interest	-		-
TOTAL	244,123	-	470,853

16. Social Benefits

Social benefits include payments towards death on duty, burial, and other benefits. During the year, the Council made social benefit payments amounting to K915, 113.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2019 Kwacha	2018 Kwacha
Air Conditioning Equipments	18,750	-
Electrical Equipments	14,628	200,052
Computers and Peripherals	-	-
Purchase of a Garbage Compactor	805,000	542,741
Fax Cables	-	-
Other Office Equipment	38,599	-
Rehabilitation of Buildings and Fixtures	2,309,658	-
Office furniture	93,400	31,220
Purchase of Two Motor Vehicles	211,900	220,256
Total	3,491,935	- 994,269

18. Financial Assets

The Council did not acquire any financial assets.

19. Loan Repayments

The following amounts were paid towards settlements of principal amounts of loans held by the Council

20. Other Payments

These relate to sundry items as well as K50,000 paid as investment to Baluba Investments.

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2019 Kwacha	2018 Kwacha
Cash on hand	48,347	4,940
Demand Deposits	1,149,729	2,030,708
Cash equivalents	-	-
TOTAL	1,198,076	- 2,035,648

NOTES TO THE FINANCIAL STATEMENTS

a. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2019	2018
	Kwacha	Kwacha
Cash collections undeposited	48,347	4,940
Petty Cash	-	-
Total	48,347	4,940

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2019:

Account Name	Account No	2019	2018
		Kwacha	Kwacha
Levies Account	Atlasmara -0310100900009	39,526.50	3,365.39
Operations Account	Atlasmara-0310476108015	29,523.69	3,912.23
Transit Account	Atlasmara-0310577924001	16,595.16	34,476.63
Capital project Fund A/C	Zanaco-0120321300172	55,835.97	123,375.03
Markets Account	Zanaco-0532898300108	18,202.31	295.35
Transit Account	Zanaco-5703833300356	1,074.35	-
Operations Account	Zanaco -5703833300255	2,908.49	-
Fire Account	Zanaco-5703833300154	4,650.00	-
Luanshya Constituency Account	Zanaco-0120204300186	156,638.40	1,431,654.63
Roan Constituency Account	Zanaco-1379123300178	593,748.07	2,003,026.99
Salaries Account	Zanaco-1102109300146	55,245.32	1,578,983.12
Commercial Account	Barclays-0000001081359	566.95	7,411.96
Main Ward Account	Atlasmara-0310437447016	23,007.78	8,903.23
Baluba Investments	Zanaco-5693307500152	152,206.20	-
TOTAL		1,149,729	# 2,030,708

c. Cash Equivalents

The Council didn't hold any treasury bill at the end of the year under review.

NOTES TO THE FINANCIAL STATEMENTS

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 7th February 2019. Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocations as follows:

	Approved Supplementary Kwacha	Approved Variations Kwacha	Total Adjustments Kwacha
RECEIPTS			
Local taxes	26,621,497	-	26,621,497
Fees and Charges	7,773,084	-	7,773,084
Licences	409,468	-	409,468
Levies	753,600	-	753,600
Permits	2,070,400	-	2,070,400
Local Government Equalisation Fund	12,111,684	-	12,111,684
Constituency Development Fund	2,800,000	400,000	3,200,000
Other Grants	7,880,537	-	7,880,537
Borrowings	-	-	-
Commercial Venture	1,797,750	-	1,797,750
Other Receipts	-	-	-
TOTAL RECEIPTS	62,218,020	400,000	62,618,020
PAYMENTS			
Personal Emoluments	33,346,000	-	33,346,000
Use of goods and services	21,845,950	-	21,845,950
Financial Charges	260,000	-	260,000
Social benefits	1,140,000	-	1,140,000
Non-financial assets acquisition	3,828,320	-	3,828,320
Financial Assets	1,797,750	-	1,797,750
Loan Repayments	-	-	-
Other payments	-	-	-
TOTAL EXPENDITURE	62,218,020	-	62,218,020

b. Budget Variances

- Local Taxes**

The council planned to collect K26, 621, 497 in local taxes but collected K17,699,741 resulting in an adverse variance of K8,921,756 representing 34%. The variance was caused by decreased revenue sources and collection strategies which was a challenge due to political interference.

- Fees and Charges**

The Council planned to collect K7, 773, 084 in fees and charges but collected K6,006,280 resulting in an adverse variance of K1,766,804 representing 23%. The variance was due to economic challenges.

NOTES TO THE FINANCIAL STATEMENTS

- **Licences**

The Council planned to collect K409, 468 in issuance of various licences but collected K1,103, 230 resulting in a favourable variance of K693,762 representing 169%. The variance was due to adherence by the stakeholders due sensitization and collection strategies

- **Levies**

The Council planned to collect K753, 600 in levies but collected K184, 959 resulting in an adverse variance of K568,641 representing 75%. The variance was due to financial challenges.

- **Constituency Development Fund**

The Council planned to receive K3, 200, 000 CDF but no funding was received resulting in an adverse variance of K3, 200, 000 representing 100%.

- **Other Grants**

The Council planned to receive K7, 880, 537 in other grants but received K39,900 resulting in an adverse variance of K 7,840,637 representing 99%. The grants we received were less from the Ministry and stakeholders not as we expected.

- **Commercial Venture**

The Council planned to realized K1, 797, 750 in running of the Baluba Motel but realized K152,206 resulting in unfavourable variance of K1,645,544 representing 92%. The variance was attributable to the non- operational of Baluba Motel due to non-completion of rehabilitation works as a result of insufficient funds.

- **Personnel Emoluments**

The Council planned to spend K33, 346,000 on personal emoluments but spent K26,480,499 resulting in a variance of K6,865,501 representing 21%. The variance was attributable to salary arrears carried forward to the following year due to non-receipt of Local Government Equalisation fund for the month of December as well as insufficient funds.

- **Use of Goods and Service**

The Council planned to spend K21, 854,950 on use of goods and services but spent K11, 709, 730 resulting in a variance of K10, 136, 220 representing 46%. The variance was attributable to non-receipt of Local Government Equalisation fund for the month of December as well as insufficient funds.

- **Social Benefits**

The Council planned to spend K1, 140, 00 on social benefits but spent K915, 113 resulting in a variance of K224, 887 representing 20%. The variance was due to the challenges the institution had in the collection of its revenue.

- **Non-Financial Assets Acquisition**

The Council planned to spend K3, 828, 320 on non-financial asset acquisition but spent K2,024,704 resulting in a variance of K1,803,616 representing 47%. The variance was due to the challenges the institution had in the collection of its revenue.

NOTES TO THE FINANCIAL STATEMENTS

- **Financial Assets**

The Council planned to spend K1, 797, 750 on financial assets but spent non-resulting in a variance of K1, 797,750 representing 100%. This has to do with the Commercial Venture which made a profit of K152, 206 which acknowledged as a receipt in the statement of cash receipts and payments for the year ended 31st December 2019.

24. Provision of Services

The Municipal Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

NOTES TO THE FINANCIAL STATEMENTS

Type of Services	2019 Kwacha	2018 Kwacha
Wages - Div IV	6,062,446	7,313,150
Building Maintenance (Maitenance,consumables,C	447,766	142,257
Petrol ,Oil and Lubricants	1,439,885	1,181,223
Servicing of Grader/Fire Tender	129,886	323,541
Spare Parts	168,375	171,414
Tyres	148,912	39,200
Repairs	87,879	56,958
Insurance	27,054	40,000
Boards Councils and Committees allowances	589,157	1,281,818
Hand tools and equipment	28,486	111,189
Protective Wear, Clothing and Uniforms	136,285	202,589
Street light equipment	39,990	2,854
Road maitenance materials	231,230	413,197
Insectcides	225	-
Veterinary Materials	13,355	17,950
School requisites	5,000	16,090
Laboratory	-	-
Other purchases	290	52,408
Audit fees	15,891	17,825
Printing	30,093	5,000
Advertising and Publicity.	52,782	43,586
Public functions and ceremonies	48,337	241,485
Shows and Exhibits	35,282	-
State Fuctions	106,040	119,272
Board,Council and Committee expenses	99,874	78,747
Relief,Repatriation and Burial of Destitutes	2,155	15,925
Cultural Promotions	-	5,140
Staff Welfare and Recreation	551,846	421,583
Land Demarcation and Survey	80,965	87,937
Bush Clearing and Grass cutting	91	386,825
Development & Maitenance of Cementaries	-	-
Valuation of properties	1,600,479	200,000
Labour day expenses and Awards	58,080	97,481
Creation and Maitenance of Parks	-	17,750
Conferences,Seminars and Workshops	78,698	264,321
Public Libraries and Community centres	-	16,605
Bank charges	244,123	470,853
Water Facility Supply	257,200	-
Drainage System	169,070	-
Market facilities	112,538	4,750
Other services	2,013,076	895,222
Public Libraries and Community centres	-	16,605
Industrial Buildings	693,942	-
Cultural promotions	-	-
Other Machinery and Equipment	39,490	-
Other specialised Vehicles	805,000	542,741
	16,651,273	15,315,493

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at **K38, 233, 742**

	Office and Fixtures	Land and Buildings	Plant & Machinery	Motor vehicles	TOTAL
	K	K	K	K	K
Opening balance	914,919	29,973,662	596,290	1,767,900	33,252,771
Additions	165,377	2,309,658	805,000	211,900	3,491,935
Revaluation	-	3,105,132	-	-	3,105,132
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Depreciation	- 162,044 -	707,769 -	350,323 -	395,960 -	1,616,096
Closing balance	918,252	34,680,683	1,050,968	1,583,840	38,233,742

26. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Baluba Investment Holdings		90%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council administered tax collection on behalf of Zambia Revenue Authority. ZRA allows that collected amounts be deposited in the Council's own transit account before being transferred to its accounts.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Luanshya Municipal Council:

- a. **Fringe benefits Disclosures**
The Mayor was provided with a "Ceremonial Vehicle", an office and personal secretary. The Town Clerk was also provided with a personal-to-holder car, an office and personal secretary.
- b. **Remuneration of the Councilors'**
The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Luanshya Municipal Council are:

Aggregate Remuneration	K1, 283,490.00
Number of persons	29

NOTES TO THE FINANCIAL STATEMENTS

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K1, 516,967.28
Number of persons	8

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

There were no funds to disclose for external Assistance received during the year.

30. Third Party Payments

The Council did not benefit from payments made by third parties